

RATHBONES

Rathbone Income

Task Force on Climate-Related Financial Disclosures Product Report

Dec 2024



Your portfolio’s impact on climate change

The purpose of this report is to provide you with a summary of the possible impact of climate change, both the risks and opportunities, on the securities held within the fund. For the purposes of comparison, we calculate the same metrics for the fund’s benchmark using MSCI data. Reporting period 1st January 2023 to 31st December 2023. Calculation date 31st December 2023.

Rathbones’ approach to governance, strategy, risk management and Group / Entity level metrics can be found in the Group / Entity TCFD report. A glossary of terms used in this document can be found here - <https://www.rathbones.com/ri-glossary>. The value of investments may increase or decrease due to the impact of climate change. Rathbones believes that there is sufficient data coverage to rely on these figures.

WEIGHTED AVERAGE CARBON INTENSITY (WACI)			
The carbon intensity of the fund weighted by the amount invested in each company, which serve as a measurement of emissions performance of the fund (for Scope 1+ Scope 2). This is calculated in tonnes CO2e divided by £M sales.			
2023		2024	
105.6		117.8	
Tonnes CO2e/£M sales		Tonnes CO2e/£M sales	
Data coverage: 96.00%		Data coverage: = 97%	

Carbon intensity and the total carbon footprint for the fund slightly increased in 2024. This can be attributed to a heavier weighting in sectors such as consumer staples and real estate with a higher carbon footprint.

TOTAL CARBON FOOTPRINT			
The total carbon emissions of the fund divided by the total value of the fund. This is calculated in tonnes CO2e divided per £M invested.			
2023		2024	
65.2		74.3	
Tonnes CO2e/£M sales		Tonnes CO2e/£M invested	
Data Coverage: 96.00%		Data coverage: 97%	

Carbon intensity and the total carbon footprint for the fund slightly increased in 2024. This can be attributed to a heavier weighting in sectors such as consumer staples and real estate with a higher carbon footprint.

Your portfolio’s impact on climate change (Cont’d)

The purpose of this report is to provide you with a summary of the possible impact of climate change, both the risks and opportunities, on the securities held within the fund. For the purposes of comparison, we calculate the same metrics for the fund’s benchmark using MSCI data. Reporting period 1st January 2023 to 31st December 2023. Calculation date 31st December 2023.

Rathbones’ approach to governance, strategy, risk management and Group / Entity level metrics can be found in the Group / Entity TCFD report. A glossary of terms used in this document can be found here - <https://www.rathbones.com/ri-glossary>. The value of investments may increase or decrease due to the impact of climate change. Rathbones believes that there is sufficient data coverage to rely on these figures.

SCOPE 1 AND 2 GREENHOUSE GAS EMISSIONS			
The sum of the total operational emissions from securities within the fund. This is calculated in tonnes CO2e.			
2023		2024	
43023		42,694	
Tonnes CO2e		Tonnes CO2e	
Data coverage 96.00%		Data coverage: 97%	

Scope 1 and 2 greenhouse gas emissions were up slightly in 2024, this was again attributed to a larger allocation of companies in the consumer staples and real estate sectors. Both these sectors generally struggle to reduce their total operational emissions due to the energy intensive nature of their business models.

SCOPE 3 GREENHOUSE GAS EMISSIONS			
The total indirect emissions that the fund is responsible for, within its value chain, including: employee travel, waste disposal, leased assets and franchises.			
2023		2024	
627930		535,254	
Tonnes CO2e		Tonnes CO2e	
Data coverage 96.00%		Data coverage: 97%	

Scope 3 greenhouse gas emissions were down in 2024. This is due to the decrease in exposure to industrial companies that had a larger scope 3 carbon footprints. As scope 3 emission reporting isn’t yet an exact science scope 3 emission data will continue to be potentially volatile in the coming years.

IMPLIED TEMPERATURE RISE

IMPLIED TEMPERATURE RISE

The Implied Temperature Rise (ITR) is a forward-looking metric which provides an indication of how well the fund aligns with the ambitions of the Paris Agreement calculated in degrees Celsius.



2.2°C

Rathbone Income

1.5 - 2°C

Paris agreement target

HOW DO THESE SCENARIOS ALIGN TO PARIS AGREEMENT COMMITMENTS?

The Paris Agreement's central aim is to strengthen the global response to the threat of climate change by keeping the global temperature rise this century to well below 2 degrees Celsius above pre-industrial levels

SCENARIO ANALYSIS

Climate value-at-risk attempts to assess the potential financial loss or gain from the fund as a result of climate change, including the impact of: climate policy; new technology opportunities; physical risks.

The 3 scenarios of climate change which we have assessed shows how a global temperature increase of between 1.5C⁰ and 3⁰C by 2100 may impact the fund. We calculate these using the Network for Greening the Financial System (NGFS) REMIND model, accessed through MSCI.

	ORDERLY TRANSITION		DISORDERLY TRANSITION		HOT HOUSE WORLD	
Global temperature rise	+1.5C		+1.5C		+3.0C	
Application of climate policies	Climate policies are introduced and gradually become more stringent		Climate policies are delayed or inconsistent across countries		Global efforts are insufficient to halt significant global warming	
Your portfolio	2023	2024	2023	2024	2023	2024
Climate value at risk (Data coverage: 96.8%)	-14.3%	-15.9%	-17.5%	-17.8%	-60.0%	-6.0%
Climate scenarios Climate scenario analysis helps us understand the implications of possible climate scenarios on our investment portfolio, and the resilience of our investment strategies in the transition to a net zero economy. Our approach to scenario analysis involves assessing the exposure of our equity and corporate bonds holdings by applying MSCI's Climate Value-at-Risk (Climate VaR) methodology.	Orderly transition scenarios assume climate scenarios assume climate policies are introduced early and become gradually more stringent. Both physical and transition risks are relatively subdued		Disorderly scenarios explore higher transition risk due to policies being delayed or divergent across countries and sectors. Carbon prices are typically higher for a given temperature outcome		Hot house world scenarios assume that some climate policies are implemented in some jurisdictions, but global efforts are insufficient to halt significant global warming. Critical temperature thresholds are exceeded, leading to severe physical risks and irreversible impacts like sea-level rise.	

ADDITIONAL INFORMATION

The information in this report is provided for information only and should not be taken as financial advice or a recommendation. The value of investments and the income from them may go down as well as up and you may not get back your original investment. Past performance should not be seen as an indication of future performance.

Use of MSCI data to calculate our investment metrics: This disclosure was developed using information from MSCI ESG Research LLC or its affiliates or information providers. Although Rathbones Group Plc's information providers, including without limitation, MSCI ESG Research LLC and its affiliates (the "ESG Parties"), obtain information (the "Information") from sources they consider reliable, none of the ESG Parties warrants or guarantees the originality, accuracy and/or completeness, of any data herein and expressly disclaim all express or implied warranties, including those of merchantability and fitness for a particular purpose.

Rathbones Group Plc is independently owned, is the sole shareholder in each of its subsidiary businesses and is listed on the London Stock Exchange. Rathbones is the trading name of Rathbones Investment Management Limited which is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. Registered office: Port of Liverpool Building, Pier Head, Liverpool L3 1NW. Registered in England No. 01448919

Rathbones Asset Management Limited is authorised and regulated by the Financial Conduct Authority. Registered office: 30 Gresham Street, London, EC2V 7QN, Registered in England No. 02376568.

No part of this document may be reproduced in any manner without prior permission.

© 2025 Rathbones Group Plc. All rights reserved.